BUSINESS STRATEGY AND TECHNOLOGY

Suggested Answers
July-August 2025

Question 1a) What do you mean by Sustainability and sustainable business practice?
Sustainability refers to meeting the needs of the present without compromising the ability of future generations to meet their own needs. It is based on three interconnected pillars, often called the "Triple Bottom Line": People, Planet, and Profit.

- Environmental (Planet): Conserving natural resources, minimizing pollution, and protecting ecosystems for the long term.
- Social (People): Operating in a way that is fair and beneficial to employees, communities, and society at large.
- Economic (Profit): Generating profit in a way that is viable over the long term without negatively impacting the social and environmental pillars.

A sustainable business practice is the integration of these principles into a company's core strategies, operations, and culture. This means a company goes beyond short-term profit maximization to consider its long-term impact on the environment and society. Examples include using renewable energy, ensuring ethical supply chains, promoting employee well-being, and developing products that solve social or environmental problems.

b) Why is Sustainability and sustainable business practice important for a responsible corporate?
For a responsible corporation, sustainability is not just an ethical choice but a strategic imperative for long-term survival and success. Its importance lies in:

1. Risk Management: Sustainable practices help mitigate risks such as regulatory fines for pollution, supply chain disruptions from resource scarcity, and reputational damage from unethical labor practices. For Sumi, instability in sugar prices is an environmental and economic risk that a sustainable approach could help manage (e.g., by sourcing sustainable sugar or diversifying ingredients).
2. Enhanced Reputation and Brand Loyalty: Consumers, especially in modern markets, increasingly prefer brands that demonstrate social and environmental responsibility. A strong sustainability record can enhance brand image, build customer trust, and foster loyalty.
3. Operational Efficiency: Sustainable practices often lead to reduced waste, lower energy consumption, and more efficient use of materials. This directly cuts costs and improves profitability, making the business more resilient.
4. Attracting and Retaining Talent: A growing number of employees want to work for companies that align with their values. A commitment to sustainability makes a company more attractive to top talent and increases employee morale and retention.
5. Access to Capital: Investors are increasingly applying environmental, social, and governance (ESG) criteria to their investment decisions. A demonstrable sustainability strategy can make it easier to attract investment and secure favorable financing.

c) Analysis of Sumi's Cake and Sweets Ltd.
i) Analysis of Current Strategic Position and Major Issues
Internal Analysis (Strengths & Weaknesses):

- Strengths:
  - Strong Heritage & Brand Recognition: Established since 1983 with well-known house names.
  - Vertical Integration: Control over wholesaling and distribution provides some cost and logistics advantages.
  - Loyal Workforce: Employee shareholding can foster loyalty and stability.
- Weaknesses:
  - Outdated Product Portfolio: Heavy reliance (50% of sales) on one traditional sweet ("Sumi's Cake") makes the company vulnerable to changing consumer tastes.
  - Inefficient Sales Structure: Separate sales teams for each brand lead to duplication of effort and higher costs.
  - Rigid Manufacturing & Packaging: Inability to meet supermarket demand for prepackaged formats is a critical failure.
  - Dysfunctional Planning Process: Budgets are based on past results and adjusted with unrealistic optimism, leading to unachievable targets and management disillusionment.
  - Family-Driven Conservatism: Resistance to change and a focus on preserving independence over adapting to the market.

External Analysis (Opportunities & Threats):

- Opportunities:
  - Growing market for savory snacks.
  - Shift of confectionery sales to supermarkets.
  - Consumer interest in healthier options (which could be an opportunity for product innovation).
- Threats:
  - Changing Consumer Preferences: Health concerns about sugar (tooth decay) are reducing demand for traditional sweets.
  - Market Consolidation: Power is shifting to large supermarkets, which Sumi cannot supply effectively.
  - Increased Competition: Entry of large national chocolate manufacturers into the sugar confectionery market.
  - Volatile Input Costs: Instability in world sugar prices hurts profitability.

Major Issues:

1. Strategic Drift: The company is failing to adapt its products and operations to significant shifts in the external market (health trends, supermarket dominance).
2. Product Portfolio Crisis: Over-dependence on a declining core product with no successful innovation.
3. Operational Inflexibility: The company's production and packaging are unable to meet the requirements of the most important modern sales channel (supermarkets).
4. Ineffective Governance & Planning: The budgeting process is broken, fostering conflict and setting the company up for failure.

ii) Evaluation of Current Objectives and Suggestions for Improvement

Critique of Current Objectives:

The stated objectives are: *"providing worthwhile financial performance while preserving our independence and offering secure employment."*

- Vague: "Worthwhile financial performance" is not measurable.
- Inward-Looking: The primary focus is on the needs of the owners (independence) and employees (secure jobs), with no mention of the customer, competition, or market position.
- Stagnant: These objectives promote stability and preservation, which is the opposite of what is needed in a dynamic, challenging market. They discourage the necessary change and innovation required for survival.

Improved Statement of Objectives:

A better statement would be a SMART (Specific, Measurable, Achievable, Relevant, Time-bound) mission or set of strategic goals. For example:

"Sumi's mission is to be the leading provider of enjoyable and innovative snack foods in Bangladesh. We will achieve this by expanding our product range to meet evolving consumer health and lifestyle needs, becoming the supplier of choice for all major retail channels, and driving operational excellence to ensure long-term, profitable growth for our shareholders and security for our valued employees."

Benefits of the Changes:

- Clarity and Focus: The new mission is market-oriented and provides clear strategic direction (innovation, channel expansion, operational excellence).
- Measurability: Progress can be tracked against goals like "leading provider," "supplier of choice," and "profitable growth."
- Motivational: It presents a positive vision for the future that can motivate employees and management beyond mere survival, uniting them behind a common goal of leadership and innovation.

iii) Evaluation of the Finance Director's Suggested Strategies

The finance director suggests:

1. Adopt a programme of product development in the savory snacks area.
2. Consolidate the current position in the present markets and develop sales through supermarkets.

Evaluation:

Strategy 1: Diversify into Savory Snacks

- Advantages: This directly addresses the threat of declining sugar confectionery demand and capitalizes on the growing savory trend. It diversifies revenue streams, reducing reliance on a single, volatile market.
- Disadvantages: This is a radical diversification. Sumi has no experience, recipes, or brand equity in savory snacks. It would require significant investment in new equipment, R&D, and marketing, carrying high risk.
- Likelihood of Success: Moderate to Low in the short term. While strategically sound, the execution risk is high for a traditional, family-run firm with no relevant experience.

Strategy 2: Consolidate & Develop Supermarket Sales

- Advantages: This is a more concentric diversification—staying close to their current capabilities. It addresses the critical weakness of not supplying supermarkets. Success here would secure a place in the dominant modern trade channel.
- Disadvantages: "Consolidating the current position" is questionable, as the core market is shrinking. It requires immediate investment in new packaging technology and likely a restructuring of the sales force. It does not solve the long-term problem of unhealthy product perceptions.
- Likelihood of Success: High, if executed decisively. Overcoming the packaging hurdle is a tangible first step to accessing a large, growing sales channel.

Conclusion and Recommendation:
Neither strategy alone is sufficient to guarantee a return to profitability. Strategy 2 (Supermarket focus) is the most urgent and critical first step to stop the bleeding of sales. However, the long-term health trends suggest that Strategy 1 (product diversification) is essential for future growth.
The best approach is a combined strategy:

- Short-Term (Survival): Immediately invest in the capability to produce prepackaged sweets to supply supermarkets. This will stabilize revenue.
- Medium- to Long-Term (Growth): Simultaneously, begin R&D for new products. This should include both healthier versions of existing sweets (e.g., low-sugar options) and savory snacks. This addresses the root cause of declining demand.

The finance director's strategies are a good starting point, but returning to profitability requires acknowledging that the company cannot simply "consolidate" a declining position. It must actively transform its product portfolio and market approach. The dysfunctional planning process must also be fixed to ensure these strategies are based on realistic, market-informed budgets.

Question 2a) Financial and Non-Financial Implications of the Loss of the Hamim Contract
Financial Implications:

1. Significant Revenue Loss: This is the most immediate impact. Assuming the number of tradespeople dedicated to Hamim has remained constant since the merger (a portion of the 75 originally from Sahidullah's business), and they work 250 days a year at BDT 200/day, the revenue loss is substantial. For example, if 50 employees were dedicated to Hamim, the annual revenue loss would be 50 employees * 250 days * BDT 200/day = BDT 2.5 Million. This is a catastrophic blow as it represents a large portion of MSL's total revenue.
2. Idle Capacity and Increased Cost Per Unit: With a large number of employees having no work, the company will still incur fixed staff costs (salaries) and fixed overheads (BDT 2 million per year). This will drastically increase the cost per chargeable day for remaining jobs, eroding profitability.
3. Threat to Profitability and Solvency: The loss of such a major client will turn profits into significant losses. Without swift action, the company may face a cash flow crisis, unable to cover its fixed costs and potentially leading to insolvency.
4. Redundancy Costs: Downsizing the workforce will require redundancy payments, which is a significant one-time cost that MSL may not be able to afford, as hinted by Zafarullah.

Non-Financial Implications:

1. Loss of Strategic Anchor Client: Hamim was not just a client; it was the foundation of Sahidullah's original business and a core part of MSL's strategy. It provided stable, large-volume work and gave the company market visibility.
2. Damage to Morale and Company Culture: The downsizing will create an atmosphere of fear, uncertainty, and low morale among remaining employees. The loss of "the best employees" who were flexible and skilled could be particularly damaging.
3. Loss of Key Skills and Expertise: MSL allocated its best and most flexible employees to Hamim. These valuable employees are likely to be the ones made redundant or, if retained, may leave for more stable opportunities, leading to a "brain drain."
4. Reputational Damage: The loss of a major contract can signal to the market that MSL is unstable or that its services are no longer competitive. This could make it harder to attract new clients and skilled employees.
5. Strained Management Relations: Sahidullah's personal connection and sense of betrayal highlight a key-person risk and a potential for blame and conflict within the board, hindering effective decision-making during the crisis.

b) Factors to Consider for Accepting the Price Reduction from Hamim in 2025
The decision is not just about the price but about the strategic use of the transition period.
Factors to Consider:

1. Contribution Margin Analysis: The key question is whether the reduced price of BDT 150 per day covers the *variable costs* of providing the service.
    - Staff Cost: BDT 80/day
    - Raw Materials (25% of revenue): 25% of BDT 150 = BDT 37.5/day
    - Total Variable Cost: BDT 117.5/day
    - Contribution Margin per day: BDT 150 - BDT 117.5 = BDT 32.5
      Since the contribution is positive, accepting the work helps cover a portion of the fixed costs that would be incurred anyway. This makes a strong financial case for acceptance.
2. Cash Flow Needs: The contribution margin, though small, provides crucial cash inflow during a period of crisis, which can help fund redundancy payments or a marketing push.
3. Workforce Management: The gradual reduction in work from Hamim throughout 2025 provides a managed timeline for downsizing. It allows MSL to implement redundancies in a phased manner rather than all at once, which is more manageable and less disruptive.
4. Opportunity Cost: Management must assess if the employees working on the discounted Hamim contract could be more profitably deployed on other, higher-margin work in the local household market. Given Jenny's assessment that the local market cannot absorb all the capacity quickly, this opportunity cost is likely low.
5. Relationship Management: Accepting the work, even at a reduced rate, keeps a foot in the door with Hamim. While they plan to cease work in 2026, circumstances could change. Maintaining a professional relationship is prudent.

Recommendation: Based on the positive contribution margin and the need for a managed transition, MSL should accept the reduced price for 2025. The primary goal for 2025 should be to use this transition period to manage the downsizing strategically.

c) Change Management Problems from Downsizing and Mitigation Strategies

Likely Problems:

1. Survivor Syndrome: Employees who keep their jobs may suffer from guilt, anxiety, and decreased morale, leading to lower productivity and engagement.
2. Loss of Trust: The psychological contract between employer and employee is broken. Remaining staff will distrust management, fearing further cuts and becoming resistant to change.
3. Knowledge Drain: As experienced and skilled employees (those previously on the Hamim contract) leave, valuable institutional knowledge and skills are lost.
4. Increased Workload and Role Ambiguity: Remaining employees may have to take on new tasks without clear guidance, leading to stress and errors.
5. Internal Conflict: Competition for remaining jobs and resentment between those laid off and those retained can poison the work environment.

Mitigation Strategies:

1. Transparent Communication: Communicate openly and honestly about the reasons for the downsizing, the process, and the future vision for the company. Hold town-hall meetings and ensure managers are equipped to answer questions.
2. Fair and Equitable Process: Use objective criteria (skills, performance, flexibility) for redundancy selection, not favoritism. Offer fair redundancy packages and outplacement services (e.g., CV writing, job search support) to those leaving.
3. Support for "Survivors": Recognize the emotional impact on remaining staff. Provide counseling, retraining, and clear communication about new roles and responsibilities. Invest in team-building to rebuild trust.
4. Knowledge Transfer: Before key employees leave, implement a formal knowledge transfer program where they document processes and train remaining colleagues.
5. Re-engage with a New Vision: Management must articulate a clear, compelling new strategy for the smaller, refocused MSL to give remaining employees a sense of purpose and direction.

d) Evaluation of the Marketing Director’s Suggestions

Jenny suggests: Cut prices to accelerate growth and cut costs by using cheaper materials, freezing salaries, and streamlining head office.

Evaluation of Price Reduction:

- Pros: In the short term, a price cut could stimulate demand in the price-sensitive segment of the local household market, helping to utilize idle capacity quickly.
- Cons: This is a high-risk strategy that could fundamentally damage MSL's competitive position.
    - Erosion of Brand Identity: MSL's historic competitive advantage was quality and reputation, not low price. Cutting prices signals a move downmarket, alienating customers who chose them for quality.

    - Price War: It may trigger a price war with smaller, lower-cost competitors who can easily undercut them, destroying profitability for everyone.
    - Perceived Quality: Customers may perceive lower prices as indicative of lower quality, further damaging the brand.

Evaluation of Cost Reduction Measures:

- Cheaper Raw Materials: This directly contradicts the company's core value of "use of high quality raw materials." It will lead to poorer workmanship, damaging the reputation that took decades to build and leading to customer complaints and rework costs. This is a disastrous idea.
- Freezing Salaries: While it saves costs, it will demotivate the remaining key employees—the very people MSL needs to retain. In a competitive job market, this will lead to the best people leaving, exacerbating the skills drain.
- Streamlining Head Office: This is the most sensible suggestion. Reducing fixed administrative costs is essential when scaling down the business. However, it must be done carefully to avoid crippling essential support functions.

Impact on Competitive Position:

Jenny's combined strategy would shift MSL's position from a differentiated, quality-focused provider to a low-cost, commodity provider. This is a weak position because:

1. MSL has higher overheads than very small firms and cannot compete on cost effectively.
2. It abandons the sustainable competitive advantage (quality reputation) that allowed it to charge a premium.
3. It makes the company vulnerable to any competitor who can offer a slightly better price or maintain a reputation for reliability.

Conclusion: Jenny's suggestions are short-term panic measures that would destroy the long-term value of the business. A better strategy would be to:

- Reaffirm the quality brand: Avoid deep price cuts. Instead, emphasize their reputation for reliability and good workmanship in marketing to local households.
- Cut costs strategically: Streamline head office and non-essential fixed costs. Do not compromise on raw material quality or skilled labor rates.
- Focus on a niche: Instead of competing on price, MSL should leverage its reputation to target higher-margin, complex household projects where quality is valued over the lowest price. This is the only way to preserve profitability as a smaller entity.

Question 3a) What business model and strategies is Fortune pursuing?

Fortune Shoes pursues a Diversification and Brand Power Business Model, underpinned by several core strategies:

1. Core Competency Strategy: The foundation of their model is leveraging their two key internal competencies:
    - Product Design & Innovation: Continuously creating "state of the art" shoes perceived as technologically superior (e.g., the original waffle tread).
    - Dramatic Guerrilla Marketing: Building a powerful brand image by associating their products with high-profile athletes and an aspirational, sporty lifestyle. This makes the shoes a fashion statement, not just functional footwear.
2. Product Diversification Strategy: After initial market saturation, Fortune moved from a focused differentiation strategy (only track and basketball) to a related diversification strategy. They now create new product lines for new segments (e.g., football, casual soccer) and acquire complementary companies (Baly, Rata) to enter adjacent markets (retro sneakers, dress shoes).
3. Acquisition-Led Growth Strategy: Instead of building new brands from scratch, Fortune strategically acquires established companies (like Baly and Rata) and injects them with its superior design and marketing competencies to drive growth and profitability.
4. Brand Portfolio Strategy: They manage multiple brands (Fortune, Baly, Rata) targeting different market segments (performance athletes, casual wearers, fashion-conscious consumers), allowing them to capture value across a wider customer base.

b) How has Fortune’s business model changed the nature of industry competition?

Fortune's evolution has significantly altered competitive dynamics in the shoe industry:

- From Niche to Broad Competition: Initially, Fortune competed only in specific niches (track, basketball). By diversifying, it now competes directly with major players across almost all athletic and casual footwear categories, making industry competition much broader and more intense.

- Raising the Bar for Marketing and Branding: Their heavy investment in celebrity endorsements and lifestyle marketing forced competitors to significantly increase their own marketing budgets and focus on building emotional, lifestyle-based brand connections, not just promoting product features.
- Shift Towards "Lifestyle" over "Utility": Fortune successfully blurred the line between athletic footwear and fashion. This forced the entire industry to compete on style, brand image, and cultural relevance, in addition to pure performance and durability.
- Consolidation Pressure: Fortune's successful acquisition strategy demonstrates the advantage of scale and a multi-brand portfolio. This likely pressures smaller, single-brand companies to seek mergers or acquisitions to survive, leading to industry consolidation.

c) What new strategies have emerged in the shoe industry as a result?
In response to Fortune's actions, competitors would have to adopt several new strategies:

1. Counter-Diversification: Competitors would be forced to expand their own product lines to compete in the segments Fortune has entered (e.g., launching their own football or casual soccer lines).
2. Emphasis on Innovation and Niche Markets: While Fortune goes broad, competitors might focus on deep innovation in specific technologies (e.g., sustainable materials, smart shoes) or dominate ultra-niche markets that Fortune overlooks.
3. Strategic Acquisitions: Rivals would likely embark on their own acquisition sprees to build their brand portfolios and acquire new competencies quickly, mirroring Fortune's playbook.
4. Digital and Social Media Marketing Arms Race: To counter Fortune's guerrilla marketing, competitors would invest heavily in creating viral social media campaigns, influencer partnerships (beyond just star athletes), and immersive digital experiences.

d) What could be the potential growth segment for Fortune in the coming years?
Based on their strategy, potential growth segments for Fortune include:

- Athletic Apparel: The case mentions they have already entered this market with Tk 1Bn in sales. This is a natural and massive extension of their brand, allowing them to offer head-to-toe outfitting. This would be their most logical and immediate growth segment.
- Sustainable/Eco-Friendly Footwear: A growing global trend. Fortune could launch a new sub-brand focused on recycled materials and sustainable production, appealing to environmentally conscious consumers.
- Children's and Youth Sports Footwear: A specialized market with continuous demand. Leveraging their star athlete endorsements could be highly effective in targeting young athletes and their parents.
- "Athleisure" and Wellness: Expanding further into the booming market for shoes designed for walking, hiking, gym training, and everyday comfort wear, directly competing with brands like Skechers or On Running.
- Geographic Expansion: The case focuses on their domestic success. The next step could be a strategic push into other South Asian or emerging markets.

e) Can you elaborate on Fortune's guerrilla-style marketing tactics?
While the case emphasizes big-budget celebrity endorsements, the "guerrilla-style" aspect likely refers to the unconventional and high-impact *execution* of their marketing, rooted in their humble beginnings of selling from car trunks. These tactics include:

- Grassroots Engagement: Instead of just TV ads, they likely sponsor local track meets, school sports events, and community tournaments to create a direct connection with core customers, much like they started.
- Creating "Hype" and Exclusivity: Launching limited-edition shoe lines in collaboration with celebrities like Jamal Bhuyan, creating long lines and media buzz, making the shoes coveted fashion items.
- Storytelling and Authenticity: Their marketing campaigns tell a story—of innovation (the waffle iron), of athletic triumph (associated with their stars)—making the brand feel authentic and aspirational rather than corporate.
- Ambush Marketing: Possibly staging promotional events at major sports competitions (even if not an official sponsor) to grab attention and associate their brand with the event's excitement.

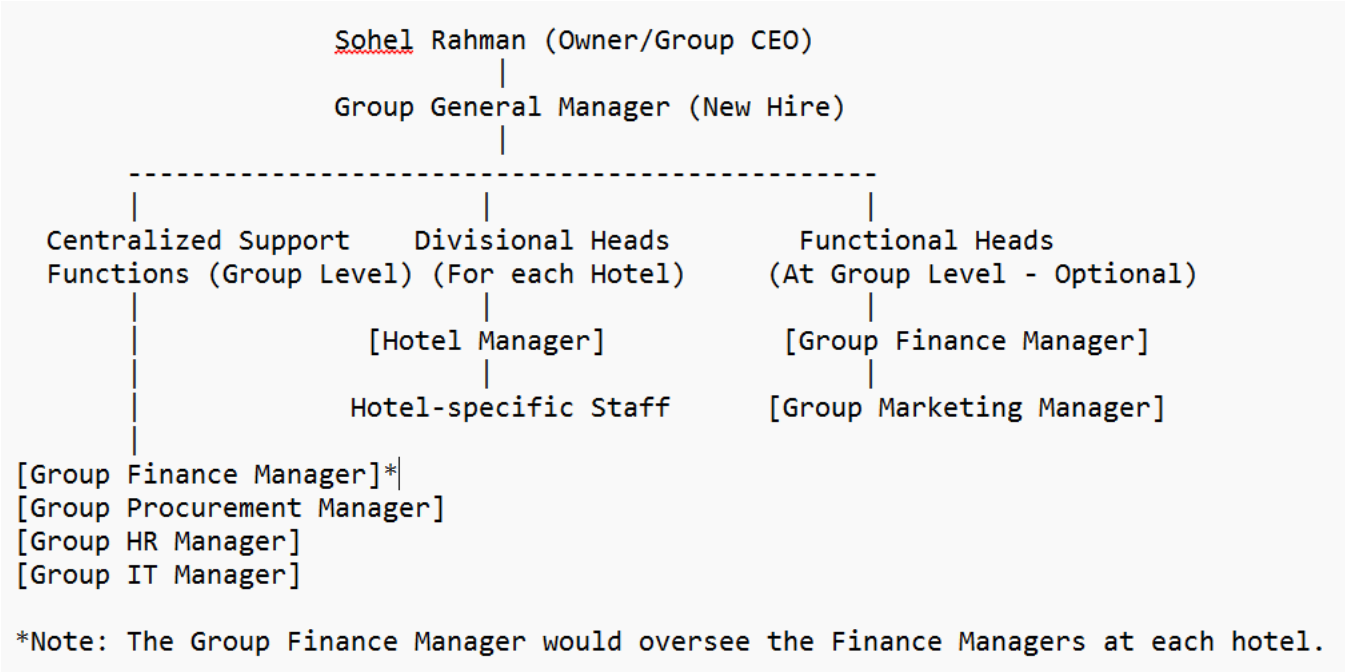
f) How effective have their social media campaigns been?
The case does not provide specific social media metrics, but its description allows for a strong inference of high effectiveness.

- Extremely Effective in Building Brand Identity: Their strategy of using celebrity athletes like Tamim Iqbal, Mehedi Miraz, and Nigar Sultana is perfectly suited for social media. These athletes have massive followings. A single post from them wearing Fortune shoes acts as a powerful, authentic endorsement that reaches millions of targeted fans directly.

- Driving Sales and Hype: The ability to link directly to product pages and create shareable content (videos of athletes training in Fortune shoes, behind-the-scenes content) would be highly effective at converting interest into sales and generating organic buzz.
- Targeting Niche Communities: They can use social media to target specific communities—cricket fans, football players, etc.—with tailored content, making their diversified marketing efforts more efficient and effective.

Conclusion: Given that their overall marketing strategy has led to a soaring ROI (14% to 24%) and significant profit, it is clear that their modern marketing, which heavily relies on social media-driven celebrity campaigns, has been highly effective in maintaining brand relevance, launching new products, and driving financial success.

Question 4a) An Appropriate Organizational Structure for the Group
Recommended Structure: A Hybrid (Matrix) Structure with a Holding Company Model
The current situation, where Mr. Rahman is directly involved in all four hotels, is unsustainable. The recommended structure is a hybrid model that combines a Holding Company at the group level with Divisional Autonomy for each hotel, supported by centralized support functions.
Diagram of the Proposed Structure:



*Note: The Group Finance Manager would oversee the Finance Managers at each hotel.

Reasons for this Recommendation:

1. Scalability and Strategic Focus: The group has grown from one to four hotels. A holding company structure allows Mr. Rahman to focus on group-wide strategy, acquisitions, and brand development, rather than day-to-day operations in Dhaka.
2. Clear Lines of Authority: This structure eliminates the current problem of Mr. Rahman bypassing middle managers (like Mr. Zaman and Mr. Talukder). Each hotel manager has clear operational authority, while functional staff at each hotel have a dotted-line reporting to a centralized group expert.
3. Leveraging Economies of Scale: Centralizing functions like Finance, Procurement, Marketing, and HR will bring significant advantages:
    - Procurement: Bulk purchasing of linens, toiletries, and food supplies will reduce costs across all four hotels.
    - Marketing: A group marketing manager can create a cohesive brand identity for the group while also running targeted campaigns for each hotel's unique market (e.g., business clients in Khulna, honeymoons in Dhaka/Sylhet).
    - Finance: Standardized reporting and financial controls will give a clear picture of each hotel's performance and the group's overall financial health.
    - HR: Centralized hiring, training programs, and policy development will ensure consistency and quality of service across the group.

4. Preservation of Individual Hotel Character: While support functions are centralized, each hotel (The Imperial, The Regent, etc.) remains a distinct division with its own Manager (like Mr. Alamgir and Mr. Nehal) who is responsible for daily operations, guest experience, and adapting the group strategy to their local market. This is crucial as the hotels serve different clienteles (business, leisure, special events).

Advantages of this Structure:

- For Mr. Rahman: Frees him to be the strategic visionary and brand ambassador he naturally is, without getting bogged down in operational details.
- For Managers: Empowers them with clear responsibility and authority, improving morale and decision-making speed.
- For the Business: Reduces costs, improves consistency, provides clearer performance metrics, and creates a framework for future growth and acquisition of more hotels.

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b) Review of Rahman's Management Style and Suggested New Structure

Review of Rahman's Management Style:

Mr. Rahman's style is a classic mix of Paternalistic and Laissez-faire, with strong tendencies toward micromanagement when he chooses to engage.

- Strengths (Paternalistic/Charismatic): He is superb with customers, inspires loyalty, and has a "big picture" vision for the company. Employees adore him, and he creates a warm, family-like atmosphere at The Imperial.
- Major Weaknesses (Micromanagement & Inconsistency):
    - Undermining Authority: This is the most critical flaw. By bypassing Mr. Zaman (Finance Manager) and directly ordering Mr. Talukder's staff, he destroys the chain of command, demotivates his capable managers, and creates confusion.
    - Indecisiveness: He has "trouble taking decisions," which stalls progress and creates uncertainty.
    - Lack of Structure: His laissez-faire approach (not wanting to be concerned with detail) combined with sudden micromanagement creates an unpredictable and unprofessional work environment for managers.
    - Unsustainable for Growth: This informal, personality-driven style worked for a single hotel but is a recipe for chaos in a multi-site group.

Suggested New Management Structure:

The new management structure should be formal, delegated, and professional.

1. Appoint a Group General Manager (GGM): This is the most critical hire. The GGM should be an experienced hospitality professional who will act as the COO (Chief Operating Officer) for the entire group.
2. Define Clear Roles and Responsibilities (RACI Matrix): For every key function, it must be documented who is Responsible, Accountable, Consulted, and Informed. This will explicitly prevent Mr. Rahman from bypassing managers.
3. Implement a Formal Reporting and Meeting Structure:
    - Weekly Operational Meeting: Chaired by the GGM, attended by all Hotel Managers and Group Functional Heads. Mr. Rahman can attend as an observer or receive a summary.
    - Monthly Strategic Review: Chaired by Mr. Rahman, attended by the GGM and Hotel Managers. This is where "big picture" ideas and group strategy are discussed, based on the operational data provided by the GGM.
4. Develop Standard Operating Procedures (SOPs): For everything from guest check-in to maintenance requests to financial reporting. This ensures consistency and quality, and it means Mr. Rahman doesn't need to give ad-hoc instructions.

Advantages of the New Management Structure:

- Clarity and Order: Eliminates confusion and frustration among managers. Everyone knows their role, their responsibilities, and to whom they report.
- Empowerment: Managers like Mr. Zaman and Mr. Talukder will be empowered to do their jobs without interference, increasing their job satisfaction and effectiveness.
- Professionalism: Introduces a system-based approach rather than a personality-based one, which is essential for attracting and retaining top talent and for building a sustainable business.
- Leverages Rahman's Strengths: It formally channels Mr. Rahman's talents into what he does best—setting the strategic vision and charming high-value guests—while systematically eliminating his weaknesses from the daily operations.

- Prepares for Future Growth: A professional structure makes it easy to integrate new acquisitions and scale the business further.

Question 5a) Type of Changes BBC is Considering

BBC is contemplating a profound and multi-layered transformation, which can be classified as follows:

1. Strategic Change: This is the most significant shift. BBC is moving from a strategy of cost leadership and standardization (limited menu, consistent taste, low wages) to a strategy of differentiation based on health and wellness. This is a fundamental change in the company's competitive positioning and value proposition.
2. Product and Service Change: The core of the change involves:
    - Radical Product Innovation: Introducing a completely new menu with salads, grilled items, fruit, and healthier drinks, while phasing out core products like extra-large portions.
    - Service Process Change: Staff will need to be trained to promote healthy eating and use new cooking equipment (e.g., grills vs. fryers).
3. Cultural and People Change: The company aims to shift its internal culture from one focused on efficiency and uniformity to one that embraces health, quality, and even decentralization (giving managers more autonomy). This requires a significant change in employee mindset and skills.
4. Brand Identity and Structural Change: Changing the company name from "Bangladesh Burger Company" to "Healthy Food" is a massive rebranding exercise. This alters the company's very identity and how it is perceived by all stakeholders.

b) Potential Barriers to Change

1. From Franchisees:
    - Financial Burden: The cost of rebranding (new signage, uniforms, packaging) and re-equipping restaurants (new cooking equipment) will be enormous. Franchisees, having signed 15-year deals, may resist this unplanned investment.
    - Operational Disruption: Implementing a new, more complex menu will slow down service, increase training costs, and potentially require more skilled staff, contradicting the low-cost, high-efficiency model they bought into.
    - Fear of Alienating Core Customers: Franchisees may believe the change will confuse or drive away their existing customer base who value consistency and traditional burgers.
    - Contractual Disputes: Franchisees might argue that such a fundamental change violates the original franchise agreement.
2. From Restaurant Staff:
    - Skills Gap and Resistance: Staff accustomed to simple, repetitive tasks may struggle with preparing a wider variety of fresher, healthier food. They may resist the need for new training.
    - Low Morale and High Turnover: The plan mentions "low wages" and "high staff turnover." Introducing complex changes in this environment is difficult. Staff may not be motivated to buy into a new "healthy" vision if they feel undervalued.
    - Increased Workload: A more varied menu and preparation methods (grilling, handling fresh produce) will likely increase workload and complexity without an immediate guarantee of higher pay.
3. From Customers:
    - Brand Confusion and Alienation: Loyal customers who associate BBC with quick, filling, and consistent burgers may be confused or disappointed by the new focus. The name change to "Healthy Food" might make them feel the brand is no longer for them.
    - Perceived Loss of Value and Taste: Customers may perceive healthier options as smaller, less filling, more expensive, and less tasty. The "health" message may clash with their reason for visiting a fast-food restaurant.
    - Skepticism and Credibility Gap: Given BBC's past claims about nutrition being deemed a failure, customers may be skeptical of this new health push, viewing it as a marketing gimmick rather than a genuine commitment.

c) Draft Blueprint for the Board of Directors

To: The Board of Directors, Bangladesh Burger Company (BBC)
From: The Change Management Steering Committee
Date: October 26, 2023

Subject: Blueprint for Strategic Transformation: "Project Nourish"

1. Executive Summary:

This blueprint outlines a phased, evidence-based approach to successfully transition BBC from a traditional burger

chain to a modern, health-conscious food provider. The plan focuses on minimizing risk, managing costs, and ensuring stakeholder buy-in through clear communication and pilot testing.

2. Vision: To become Bangladesh's leading provider of tasty, convenient, and nutritious food choices for individuals and families.

3. Phased Implementation Plan:

- Phase 1: Foundation & Pilot (Months 1-6)
  - Objective: Test and refine the new concept with minimal risk.
  - Actions:
    - Establish a "Project Nourish" task force.
    - Pilot Program: Select 10-15 company-owned restaurants in diverse locations to test the new menu *alongside* the classic menu.
    - Market Research: Intensively gather customer feedback on taste, pricing, and marketing messages in pilot locations.
    - Franchisee Engagement: Begin a dialogue with franchisees to understand concerns and involve them in the process. Delay mandatory franchisee changes until Phase 3.
    - Develop Training Modules: Create training programs for new equipment and customer engagement.
- Phase 2: Refinement & Staged Rollout (Months 7-18)
  - Objective: Implement successful elements from the pilot across the company-owned estate.
  - Actions:
    - Analyze pilot data to identify the most popular new items and effective operational procedures.
    - Gradual Menu Integration: Roll out the successful healthier options to all company-owned stores, marketing them as "New Choices from BBC."
    - Soft Rebranding Test: In pilot locations, test customer reaction to a potential new name and logo as a "concept" before a full change.
    - Finalize Franchisee Support Package: Based on pilot costs, create a financial support plan (e.g., phased subsidies, low-interest loans) for franchisees.
- Phase 3: Full Rebranding & Franchise Rollout (Months 19-36)
  - Objective: Complete the transformation across the entire network.
  - Actions:
    - Official Rebranding: Only after proving the concept's success, officially launch the new company name and identity.
    - Franchisee Implementation: Support franchisees through the transition with the agreed-upon financial and operational package.
    - National Marketing Campaign: Launch a major campaign celebrating the new brand identity and menu.

4. Key Success Factors:

- Data-Driven Decisions: Let customer feedback from pilots guide the menu and strategy.
- Stakeholder Involvement: Continuous communication with franchisees, staff, and shareholders.
- Phased Investment: Stagger costs to manage cash flow and reduce financial risk.

d) Ways to Communicate the Changes Successfully

1. To Customers:

- Transparent Storytelling: Use advertising to tell a authentic story: "We listened to you. We're evolving to meet your needs for healthier options, while keeping the classics you love."
- "Try It" Promotions: Offer discounts or free samples of new healthy items to encourage trial.
- Focus on Taste, Not Just Health: Market the new items as "Fresh, Flavorful, and Satisfying," not just as a health obligation. Use appealing visuals.
- Loyalty Program Integration: Reward customers for trying new menu items with extra points in the loyalty program.

2. To Franchisees:

- Treat them as Partners, Not Adversaries: Hold franchisee conventions to present the vision, share pilot program data demonstrating increased sales and customer traffic, and listen to their concerns.
- Financial Support Communication: Clearly outline the financial support package (grants, loans) to alleviate cost fears.
- Create Franchisee Champions: Identify successful pilot franchisees and have them champion the change to their peers, sharing best practices.

3. To Shareholders:

- Clear Investor Presentation: Frame the change as a necessary strategic investment for long-term growth. Highlight the risks of *not* changing (stagnant sales, legal claims).
- Manage Expectations: Be clear that initial costs will be high and ROI may take 2-3 years. Provide regular updates on key metrics from the pilot programs (e.g., average ticket size, customer count).
- Emphasize the Upside: Show how the new strategy opens up new market segments (health-conscious adults, families seeking better options) and protects the brand from future regulatory and health trends.

Question 6a

MEMORANDUM

TO: The Chief Executive Officer, Bangladesh Machine Tools Factory (BMTF)

FROM: [Your Name], Strategic Advisory, [Name of Accounting Firm]

DATE: October 26, 2023

SUBJECT: Framework for Creating, Implementing, and Reviewing a Business Plan for Global Expansion

1. Introduction

This memorandum outlines the recommended steps for developing a robust business plan for your proposed global expansion into the private security glass sector. A comprehensive plan is crucial not only to secure funding from IDLC but also to serve as a strategic roadmap for BMTF, ensuring that the ambitious expansion is well-managed and successful.

2. Steps for Creating, Implementing, and Reviewing the Business Plan

Phase 1: Creation and Formulation

1. Situational Analysis (Where are we now?):
    - SWOT Analysis: Conduct a rigorous analysis of BMTF's internal Strengths (e.g., advanced technology, skilled staff, flexibility) and Weaknesses (e.g., lack of experience in commercial markets, recent losses, anxious staff), alongside external Opportunities (e.g., global terrorism threat, demand from financial sector) and Threats (e.g., niche competitors, bad debt risk overseas).
    - Market Research: Validate the CEO's proposal with concrete data. This includes sizing the global market for security glass in the financial and diplomatic sectors, identifying key geographic targets, understanding customer procurement processes, and analyzing competitor offerings and pricing.
2. Setting Objectives (Where do we want to go?):
    - Define clear, SMART objectives for the next 3-5 years. These should be Specific, Measurable, Achievable, Relevant, and Time-bound.
    - *Examples:* Achieve 20% of total revenue from the private security sector within two years; secure contracts with three major international banks within 18 months; achieve a net profit margin of 12% on new business by year three.
3. Strategy Development (How will we get there?):
    - Based on the analysis and objectives, formulate core strategies.
    - Marketing & Sales Strategy: How will BMTF reach new customers? This includes branding (the proposed name change to "Security Glass Ltd." is a key part of this), pricing models, and a detailed sales plan for international markets.
    - Operations Strategy: How will production be adjusted for new, potentially smaller-batch commercial orders? How will supply chains and logistics for international delivery be managed?
    - Financial Strategy: A detailed financial forecast, including projected Profit & Loss, Cash Flow, and Balance Sheet statements. This is critical for the IDLC funding request and must show how the Tk 280mn will be used and repaid.
    - Human Resources Strategy: A plan for recruiting or retraining staff with skills in commercial sales and international business. Addressing staff anxiety through clear communication is vital.

Phase 2: Implementation (How will we make it happen?)

4. Action Planning:
    - Translate the high-level strategies into specific, actionable tasks. Assign each task to a manager or team, set deadlines, and allocate necessary resources (budget, personnel).
5. Resource Allocation:
    - Ensure the financial and human resources outlined in the plan are available. The IDLC financing is a key part of this.
6. Communication and Buy-in:
    - The plan must be communicated effectively to all levels of the organization, especially the loyal but anxious staff and managers. Their commitment is essential for success.

Phase 3: Monitoring and Review (How do we know we are on track?)

7. Establish Key Performance Indicators (KPIs):
    - Define the metrics that will be used to track progress against the objectives. These are detailed in the answer to part (a)(ii) below.
8. Regular Performance Reviews:
    - Schedule monthly or quarterly management meetings specifically to review performance against the KPIs and the business plan.
9. Flexibility and Adaptation:
    - The business plan is a guide, not a straitjacket. The board must be prepared to adapt the plan based on performance data and changing market conditions.

3. Critical Factors for Successful Implementation

- Top-Down Commitment: The CEO and board must champion the plan consistently.
- Effective Communication: Ensuring every employee understands their role in the new strategy.
- Ownership and Accountability: Managers must be empowered and held responsible for delivering their parts of the plan.
- Adequate Resources: Ensuring the funding (from IDLC) and skilled personnel are in place.
- Continuous Monitoring: Regularly tracking KPIs to identify and address problems early.

We are ready to assist BMTF in developing each component of this plan.

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a) (ii) Key Performance Indicators (KPIs) for Monitoring the Business Plan
The KPIs should be aligned with the SMART objectives set in the plan.

Category	**Key Performance Indicator (KPI)**	**Purpose**
Financial	1. Revenue from New Markets: Monthly/quarterly sales from the financial and diplomatic sectors.	To measure market penetration success against the objective.
	2. Gross & Net Profit Margin by Segment: Profitability of the new business versus traditional defense business.	To ensure new business is contributing positively to profits.
	3. Days Sales Outstanding (DSO): Average time to collect payments from customers.	Critical for monitoring the risk of bad debts from new international clients.
	4. Cash Flow from Operations:	To ensure the company has sufficient cash to fund growth and repay IDLC.
Customer & Market	5. Number of New Contracts Signed (e.g., with major banks).	To measure sales pipeline conversion and market acceptance.
	6. Customer Acquisition Cost.	To evaluate the efficiency of the marketing and sales strategy.
Internal Processes	7. Order Fulfillment Cycle Time.	To measure operational efficiency in handling new, diverse orders.
	8. Rate of Product Returns/Defects.	To ensure the high-quality standards are maintained for new products.
Learning & Growth	9. Employee Training Hours (specifically for commercial skills).	To ensure the workforce is developing the necessary capabilities.

Category	Key Performance Indicator (KPI)	Purpose
	10. Employee Retention Rate.	To gauge staff morale and success in retaining key talent during the transition.

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b) How to Take Stock of How Well a Company's Strategy is Working

Taking stock of a strategy's effectiveness involves a continuous process of evaluation against real-world outcomes. Here are three key methods:

1. Compare Actual Performance vs. Planned Targets: This is the most direct method. Regularly compare actual financial results (revenue, profit, cash flow) and operational metrics (market share, new customers) against the forecasts and objectives detailed in the business plan. Significant variances indicate that the strategy may not be working as intended or that assumptions were incorrect.
2. Gather Direct Feedback from the Market: Quantitative data needs qualitative context. Actively seek feedback from:
    - Customers: Are they satisfied? Are sales meeting expectations? Are you winning contracts?
    - Employees: Are they engaged and effectively executing the strategy? Do they see obstacles that management doesn't?
    - Competitors: How are rivals reacting? Are they losing market share to you, or are you losing ground to them?
3. Conduct a Periodic Strategic Review (e.g., SWOT Analysis): At least annually, revisit the fundamental assumptions of the strategy. Has the external environment changed (new threats, faded opportunities)? Have internal capabilities shifted (new strengths emerged, weaknesses been resolved)? If the landscape has changed significantly, the strategy itself may need to be revised, even if it is being executed perfectly. This ensures the company is still focused on the right goals.

---The End---